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General Management

Management Science

1. Does Offshoring Production Reduce Innovation? Firm-Level Evidence from Taiwan

Authors: Lee Branstetter, Jong-Rong Chen, Britta Glennon, Nikolas Zolas

DOI: [10.1287/mnsc.2024.04944](https://doi.org/10.1287/mnsc.2024.04944)

Published: 2026-03-31

Fields & Theories:

- **Fields:** Strategic Management, Innovation Management, International Business, Offshoring
- **Theories:** Resource Reallocation, Product vs. Process Innovation, Causal Inference

Abstract:

Does the offshoring of production degrade or enhance the innovative capabilities of manufacturing firms? We contribute to this debate with causal evidence that offshoring impacts both the level and nature of innovation. Exploiting a policy shock that differentially affected the ability of Taiwanese firms to offshore production of certain goods to China, we find a decline in innovation levels and a shift from product to process innovation in the technologies directly related to product categories that could be offshored more easily after the policy shock. However, we also find evidence that the policy shock led to a reallocation of research effort within the firm, raising innovative effort in product categories not directly impacted by the shock and shifting them toward product innovation. History: Accepted by Alfonso Gambardella, business strategy. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2024.04944>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Funding: This work was supported by the Mack Institute for Innovation Management, Wharton School, University of Pennsylvania, and the National Science Foundation [Grant 1360170] and the Portuguese National Science Foundation. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.04944>.

□ Branstetter - Does Offshoring Production Reduce Innovation Firm-Level Evidence from Taiwan.pdf

2. Dealer Funding and Market Liquidity

Authors: Max Bruche, John Chi-Fong Kuong

DOI: [10.1287/mnsc.2022.02278](https://doi.org/10.1287/mnsc.2022.02278)

Published: 2026-03-24

Fields & Theories:

- **Fields:** Finance, Market Microstructure, Financial Intermediation
- **Theories:** Agency Theory, Moral Hazard, Search Theory

Abstract:

We analyze a model where dealers provide market liquidity by intermediating trades between clients. They exert unobservable search effort to improve intermediation profit. This moral-hazard friction limits their ability to raise external finance and compete with each other, constraining market liquidity even for safe assets and more so for those with higher search costs. Dealers mitigate this friction by using debt financing and intermediating across multiple markets, making leverage endogenous and linked to liquidity variations in otherwise unrelated markets. Capping leverage reduces dealer external financing and has mixed effects on welfare. It worsens liquidity but encourages effort. Our findings illuminate how postcrisis regulations impact bond market liquidity. History: Accepted by William Cong, finance. Funding: J. C.-F. Kuong gratefully acknowledges the financial support from INSEAD and HKIMR. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2022.02278>.

3. On the Quality of Cryptocurrency Markets: Centralized vs. Decentralized Exchanges

Authors: Andrea Barbon, Angelo Ranaldo

DOI: [10.1287/mnsc.2024.07703](https://doi.org/10.1287/mnsc.2024.07703)

Published: 2026-03-23

Fields & Theories:

- **Fields:** Finance, FinTech, Market Microstructure
- **Theories:** Transaction Cost Economics, Arbitrage, Mechanism Design

Abstract:

We analyze the market quality of centralized crypto exchanges and decentralized blockchain-based venues (DEXs) using a unique and comprehensive data set. Focusing on two fundamental aspects, transaction costs and deviations from the no-arbitrage condition, we estimate the causal effect of gas fees on DEX market quality. We show that these fixed costs impose a significant burden on relatively small trades and cause persistent arbitrage deviations. Conversely, DEXs offer more competitive transaction costs for larger trades, offering a more favorable environment for institutional investors. Furthermore, we provide causal evidence that innovations aimed at enhancing the flexibility of liquidity provision in DEX markets lead to sizeable improvements in market quality. History: Accepted by Agostino Capponi, finance. Funding: A. Ranaldo acknowledges financial support from the Swiss National Science Foundation nccr-on the move [Grant 204721]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.07703>.

□ Barbon - On the Quality of Cryptocurrency Markets Centralized vs. Decentralized Exchanges.pdf

4. Asset Pricing in a World of Imperfect Foresight

Authors: Peter Bossaerts, Felix Fattinger, Frans van den Bogaerde, Wenhao Yang

DOI: [10.1287/mnsc.2025.03690](https://doi.org/10.1287/mnsc.2025.03690)

Published: 2026-03-20

Fields & Theories:

- **Fields:** Finance, Behavioral Economics, Asset Pricing
- **Theories:** Bounded Rationality, Narrow Framing, Behavioral Asset Pricing

Abstract:

A key assumption of dynamic asset pricing theory is that agents have perfect foresight: for all future contingencies, they correctly foresee the corresponding equilibrium prices. Is it possible for prices to still reflect perfect foresight even if agents have imperfect foresight? We answer affirmatively, provided agents exhibit a mild form of narrow framing, which we refer to as dynamic narrow framing: while accounting for future endowments, agents ignore retrading opportunities. This behavior vastly simplifies computation of optimal choices because it obviates the need to form beliefs about future prices. Obviously, choices will generally be different, and hence, suboptimal, compared with those that obtain if agents were to optimize dynamically using perfect foresight about future prices. With a controlled experiment, we verify that our behavioral assumption explains both prices and choices. Our findings allow us to reinterpret the successes (when evaluating prices only) and failures (when evaluating prices against choices) of traditional tests of asset pricing theory on historical data from the field. History: Accepted by Lukas Schmid, finance. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2025.03690>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Funding: P. Bossaerts acknowledges funding from the Australian Research Council [Grant DP180102284], from a R@MAP Chair at the University of Melbourne, and from The Leverhulme Trust. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2025.03690>.

5. The Need for Absorptive Capacity Alleviates the Free-Rider Problem in Knowledge Production

Authors: Jerker Denrell, Jerry Luukkonen, Nick Chater, Chengwei Liu

DOI: [10.1287/mnsc.2024.06471](https://doi.org/10.1287/mnsc.2024.06471)

Published: 2026-03-13

Fields & Theories:

- **Fields:** Strategic Management, Organizational Theory, Knowledge Management, Organizational Learning
- **Theories:** Knowledge-Based View, Absorptive Capacity, Game Theory

Abstract:

Knowledge sharing is central to strategy and organizational learning, yet its effect on knowledge production remains underexplored. When knowledge diffuses too easily, individuals may free ride on others' costly knowledge production, creating a suboptimal equilibrium in which knowledge sharing persists but the average payoff is no greater than if everyone produced knowledge independently—the so-called Rogers' paradox. We develop a game-theoretic model to re-examine this puzzle. In our baseline model, we reproduce Rogers' paradox; frictionless sharing does not increase performance beyond individual knowledge production alone. We then extend the model to incorporate absorptive capacity—the need for prior investment in one's own knowledge before learning from others. Absorptive capacity discourages pure free riding. Counterintuitively, although it introduces frictions in knowledge sharing, absorptive capacity increases collective knowledge production beyond the level attainable through individual knowledge production alone. This explains why extensive knowledge sharing in domains such as academia does not erode incentives for knowledge production. It also contributes to knowledge-based theories of the firm by showing that although hierarchical control may be crucial in contexts where knowledge is simple and codifiable, it may not be necessary where knowledge is complex and tacit. More broadly, our analysis illustrates how formal modeling can uncover overlooked mechanisms and integrate insights across cultural evolution, organizational learning, and strategy. History: Accepted by Alfonso Gambardella, business strategy. Supplemental Material: The online appendix is available at <https://doi.org/10.1287/mnsc.2024.06471>.

□ Denrell - The Need for Absorptive Capacity Alleviates the Free-Rider Problem in Knowledge.pdf

6. The Hidden Costs of Fairness in Platform Markets: The Dynamics of Lowering Developer Royalty Rates

Authors: Annamaria Conti, Juan Santaló

DOI: [10.1287/mnsc.2024.05861](https://doi.org/10.1287/mnsc.2024.05861)

Published: 2026-03-12

Fields & Theories:

- **Fields:** Strategic Management, Platform Economics, Entrepreneurship, Innovation
- **Theories:** Platform Theory, Indirect Network Effects, Information Economics, Incentive Alignment

Abstract:

Multisided platforms crucially rely on indirect network effects. When trying to strengthen these effects, platform owners face a fundamental challenge, namely, designing incentives to enhance developer effort and simultaneously ensuring the release of high-quality products on the platform. This paper highlights the costs associated with lowering royalty rates to boost developer effort, as such reductions increase the relative supply of lower-quality offerings, worsening information congestion problems and amplifying the importance of visibility-enhancing investments. We leverage the quasi random announcements made by Apple and Google, declaring their intention to reduce the royalty rate applied to small app developers from 30% to 15%. We analyze the implications of these reforms using a difference-in-differences approach, finding a

substantial increase in small developers' likelihood of releasing lower-quality and less original apps on iOS and Android after the announcements. These effects are neither paralleled by a comparable increase in high-quality app releases nor by an increase in small developers' likelihood of launching venture-backed apps. Consistent with worsening information congestion problems because of an influx of low-quality apps, our findings show an increase in the marginal value of experienced user certifications and developers' app store optimization efforts post announcement. Additionally, we observe that venture capitalists are increasingly concentrating their investments in ventures with higher (observable) quality. History: Accepted by Anita McGahan, business strategy. Funding: This work was supported by the Spanish Ministry of Education [Project PID2022-138710NB-I00 funded by MCIU/AEI/10.13039/501100011033/FEDER, UE]. A. Conti acknowledges financial support from the Swiss National Science Foundation [Grant 100013_197807]. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.0586>.

□ Conti - The Hidden Costs of Fairness in Platform Markets The Dynamics of Lowering Develo.pdf

7. The Task Space: An Integrative Framework for Team Research

Authors: Xinlan Emily Hu, Mark E. Whiting, Linnea Gandhi, Duncan J. Watts, Abdullah Almaatouq

DOI: [10.1287/mnsc.2023.03544](https://doi.org/10.1287/mnsc.2023.03544)

Published: 2026-03-05

Fields & Theories:

- **Fields:** Organizational Behavior, Management Science, Team Research, Social Psychology
- **Theories:** Task Contingency Theory, Collective Intelligence, Taxonomic Modeling, Information Processing Theory

Abstract:

Research on teams spans many contexts, but integrating knowledge from heterogeneous sources is challenging because studies typically examine different tasks that cannot be directly compared. Most investigations involve teams working on just one or a handful of tasks, and researchers lack principled ways to quantify how similar or different these tasks are from one another. We address this challenge by introducing the "Task Space," a multidimensional space in which tasks—and the distances between them—can be represented formally, and use it to create a "Task Map" of 102 crowd-annotated tasks from the published experimental literature. We then demonstrate the Task Space's utility by performing an integrative experiment that addresses a fundamental question in team research: when do interacting groups outperform individuals? Our experiment samples 20 diverse tasks from the Task Map at three complexity levels and recruits 1,231 participants to work either individually or in groups of three or six (180 experimental conditions). We find striking heterogeneity in group advantage, with groups performing anywhere from three times worse to 60% better than the best individual working alone, depending on the task context. Critically, the Task Space makes this heterogeneity predictable: it significantly outperforms traditional typologies in predicting group advantage on unseen tasks. Our models also reveal theoretically meaningful interactions between task features; for example, group advantage on creative tasks depends on whether the answers are objectively verifiable. We conclude by arguing that the Task Space enables researchers to integrate findings across different experiments, thereby building cumulative knowledge about team performance. History: Accepted by Sameer Srivastava, organizations. Open Access Statement: This work is licensed under a Creative Commons Attribution 4.0 International License. You are free to copy, distribute, transmit and adapt this work, but you must attribute this work as "Management Science. Copyright © 2026 The Author(s). <https://doi.org/10.1287/mnsc.2023.03544>, used under a Creative Commons Attribution License: <https://creativecommons.org/licenses/by/4.0/>." Funding: The authors thank the Alfred P. Sloan Foundation [Grant #202-13924] and the MIT Wade Fund for their generous support of this research. Supplemental Material: The online appendix and data files are available at <https://doi.org/10.1287/mnsc.2023.03544>.

□ Hu - The Task Space An Integrative Framework for Team Research.pdf

8. Credit Rating Purchases and S&P 500 Index Membership Decisions

Authors: Kun Li, Xin Liu, Shang-Jin Wei

DOI: [10.1287/mnsc.2024.08157](https://doi.org/10.1287/mnsc.2024.08157)

Published: 2026-03-03

Fields & Theories:

- **Fields:** Corporate Governance, Finance, Strategic Management, Market Intermediaries
- **Theories:** Agency Theory, Conflict of Interest, Institutional Theory, Resource Dependency Theory

Abstract:

S&P 500 is commonly used in empirical finance and macroeconomics as a measure of overall capital market sentiment, and the associated VIX is taken as an indicator of economic uncertainty. While both assume that the S&P 500 index is objectively constructed, we show that its membership decisions have a nontrivial amount of discretion unexplained by its published methodology. Importantly, we show that firms' purchases of S&P ratings appear to improve their chance of entering the index (but purchases of Moody's ratings do not). Furthermore, openings in index membership tend to motivate firms to purchase more S&P ratings. This is also confirmed by an event study of a 2002 membership rule change. These patterns raise concerns over potential governance issues. History: Accepted by Will Cong, finance. Supplemental Material: The internet appendix and data files are available at <https://doi.org/10.1287/mnsc.2024.08157>.

□ Li - Credit Rating Purchases and S&P 500 Index Membership Decisions.pdf
